

affected over the long run if they leave themselves exposed to unsystematic risk.

With the tools of MPT it's possible to construct a portfolio that stays within an investor's risk profile while still generating returns sufficient to meet long-term financial goals and objectives. The innovative investor recognizes that the overall risk of his or her portfolio can be reduced by including assets that are uncorrelated to the traditional capital markets, such as bitcoin and its digital siblings.

TRADITIONAL ASSET ALLOCATION

For many years, traditional asset allocation models strictly focused on defining percentages of a portfolio in either stocks or bonds. For instance, the American Association of Individual Investors provides simplified models for three types of investors:⁴

- **Aggressive investors:** 90 percent diversified stock and 10 percent fixed income
- **Moderate investors:** 70 percent diversified stock and 30 percent fixed income
- **Conservative investors:** 50 percent diversified stock and 50 percent fixed income

These three simple models can be used by people of different ages who have different investment time horizons. A whole host of equities can be included within “diversified stock,” and